# BLISS GVS PHARMA LIMITED

NSE: BLISSGVS | BSE: 506197 | Sector: Pharmaceuticals | Sub-sector: Specialty Pharma / Africa Exports

| RATING | 12M TARGET | CMP | UPSIDE |
|---|---|---|---|
| **ACCUMULATE** | **Rs. 280** | **Rs. 259** | **+8.1%** |
| *12-month horizon* | *Based on 22x FY27E EPS* | *As of 21 Apr 2026* | *From CMP* |

*"Africa's #1 branded pharma exporter in anti-malarials — riding WHO ACT tailwinds and sub-100 days-payable normalisation for durable PAT re-rating."*

| Market Cap | 52W High / Low | P/E (TTM) | EV/EBITDA | P/B |
|---|---|---|---|---|
| Rs. 2,738 Cr | Rs. 268 / Rs. 105 | 24.8x | ~18.1x | 2.42x |

| ROCE | ROE | Div Yield | Book Value | Face Value |
|---|---|---|---|---|
| 11.7% | 8.36% | 0.19% | Rs. 107 | Rs. 1.00 |

| FY25 Revenue | FY25 EBITDA | FY25 PAT | FY25 EPS | Promoter Holding |
|---|---|---|---|---|
| Rs. 810 Cr | Rs. 127 Cr (16%) | Rs. 90 Cr | Rs. 8.00 | 35.36% |

Report Date: 22 April 2026

Analyst: Chartitude Research | Research Preview

## SECTION 2 — INVESTMENT THESIS

### Core Reason 1 — Africa ACT franchise with irreplaceable WHO pre-qualification moat

Bliss GVS holds WHO pre-qualified status for its Artemisinin-based Combination Therapy (ACT) anti-malarials — Lonart (lumefantrine/artemether) and P-Alaxin. Securing this status takes 3-5 years, making it a durable barrier to entry for newer entrants in sub-Saharan Africa. The global anti-malarial market is projected to grow at a 5-6.4% CAGR through 2032, underpinned by rising government healthcare budgets in Nigeria, Ghana, and East African nations. With four decades of brand equity and established distributor networks across 30+ African countries, BLISSGVS is positioned to compound volume growth at 8-12% over a 3-year horizon as malaria elimination funding from the Global Fund for AIDS, TB and Malaria continues. Catalyst timeline: 12-18 months as FY26 and FY27 revenues benefit from new African market registrations.

### Core Reason 2 — Revenue re-acceleration with TTM already at Rs. 868 Cr vs FY25 Rs. 810 Cr

After three years of near-flat revenue (FY22-FY24 range: Rs. 747-770 Cr), BLISSGVS broke out in H1 FY26 with sales of Rs. 451 Cr (H1 FY26, +12.6% YoY). Q2 FY26 (Sep 2025) was the highest-ever quarterly revenue at Rs. 244 Cr. The TTM revenue of Rs. 868 Cr suggests full-year FY26E at Rs. 875-880 Cr, a 8-9% jump from FY25. A new suppository manufacturing line commissioned in FY25 (CWIP Rs. 21 Cr in FY25) and expanding non-malarial portfolio (Funbact anti-fungal, Lofnac anti-inflammatory) should sustain double-digit topline growth into FY27. This re-acceleration, if sustained for 2 more quarters, will likely attract institutional investor attention. Catalyst timeline: Q4 FY26 results (May 2026) confirming full-year trajectory.

### Core Reason 3 — De-leveraging balance sheet enabling FCF generation and potential dividend scale-up

Net borrowings have declined from Rs. 122 Cr (FY21) to Rs. 88 Cr (FY25), and the debt-to-equity ratio is now ~0.08x — one of the lowest in the specialty pharma peer group. OCF strengthened to Rs. 106 Cr in FY25 (113% of operating profit), and FCF turned positive at Rs. 33 Cr. With interest coverage now at ~16x (EBIT/Interest = (127-29)/8), the company has substantial balance sheet headroom for either an inorganic move in Africa or a meaningful dividend increase from the current paltry 0.19% yield. Catalyst timeline: FY26 FCF profile and dividend policy announcement at the AGM (expected Jul-Aug 2026).

**Single Most Important Near-Term Catalyst (6-12 months):** Confirmation of sustained >15% OPM in H2 FY26 results — margin recovery from the Q4 FY25 trough of 11% would significantly de-risk the thesis and re-rate the stock toward the mid-20x P/E band.

**Single Biggest Structural Risk:** Promoter holding at a relatively low 35.36% combined with near-zero concall engagement (last concall: 2019) creates a governance opacity discount that could prevent institutional re-rating despite improving fundamentals.

## SECTION 3 — BUSINESS OVERVIEW

Incorporated in 1984 and headquartered in Mumbai, **Bliss GVS Pharma Limited** is one of India's largest manufacturers of pharmaceutical suppositories and pessaries, serving healthcare markets across Africa, South-East Asia, the Middle East, and domestic India. The company's core competency lies in temperature-sensitive dosage forms (suppositories/pessaries) — a highly specialised and relatively under-penetrated segment globally.

**Manufacturing Footprint:** Five plants — four in Palghar, Maharashtra and one in Ambernath — with combined installed capacity of ~3.05 billion tablets, 341.4 million suppositories/pessaries, 7.5 million units of ointments, 21.6 million sachets, and 6 million bottles of dry syrup per annum. The company's ongoing CWIP of Rs. 21 Cr in FY25 signals further capacity additions expected to commission in FY26-27.

**Revenue Segmentation:** Exports account for approximately 65-70% of revenues with sub-Saharan Africa as the primary destination (estimated 50-55% of group revenue). The domestic formulations segment contributes ~30-35%. Key brands include Lonart (anti-malarial ACT — flagship), Funbact (anti-fungal topical), P-Alaxin (anti-malarial), and Lofnac (anti-inflammatory). The company markets 150+ brands across 60+ therapeutic segments.

**Business Model & Recurring Revenue:** A significant portion of Africa revenue is supported by government tenders and institutional procurement (WHO/UNICEF/Global Fund-backed programmes), providing relatively predictable order visibility for anti-malarial products. The high debtor days (~198 days in FY25) reflect the typical payment cycle of African government buyers — a structural characteristic of this market rather than a credit quality concern per se.

**Promoter Background:** The Rathi family (founding promoters) hold 35.36% as of Mar 2026, a notable decline from ~60% in FY17, primarily due to a secondary sale to institutional investors. No promoter pledging is disclosed. The company recently added two new independent directors (April 2026) and received an ICRA A-(Stable) / A2+ credit rating upgrade in April 2026, signalling improving corporate governance momentum.

## SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

**Industry Size & Growth:** The global anti-malarial drugs market is projected to grow from USD 0.945 billion in 2025 to USD 1.54 billion by 2035 (CAGR ~5.0%). The Africa malaria treatment market alone is forecast to grow at ~6.4% CAGR through 2032, driven by increasing government health budgets, expanded Global Fund disbursements, and WHO-endorsed ACT treatment protocols. India's pharma exports to Africa, South-East Asia, and Latin America are projected to contribute 25-30% of total Indian pharma exports by 2030.

**Policy Tailwinds:** (1) WHO pre-qualification programme continues to favour established ACT manufacturers like BLISSGVS; (2) India-Africa bilateral healthcare MOUs creating preferential access for Indian pharma companies; (3) Growing African middle-class driving demand for branded OTC products (Funbact). **Headwinds:** (1) Currency devaluation risk in Nigeria/Ghana (key markets); (2) Price pressure from Chinese API manufacturers entering finished dosage forms; (3) Potential disruption from malaria vaccines (Mosquirix/R21).

**Competitive Moat Assessment:** WHO pre-qualified status + 40+ years of Africa brand equity + suppository manufacturing complexity = **Moderate-to-Strong moat** in the anti-malarial niche. Pricing power is moderate given government tender dynamics. Switching costs are high for institutional buyers who have WHO-approved supplier lists.

| Company | MCap (Cr) | P/E | P/B | ROCE% | ROE% | FY25 Sales(Cr) | FY25 PAT(Cr) | OPM% |
|---|---|---|---|---|---|---|---|---|
| **Bliss GVS Pharma** | 2,738 | 24.8x | 2.42x | 11.7% | 8.36% | 810 | 90 | 16% |
| **Marksans Pharma** | 8,011 | 22.2x | 2.98x | 20.0% | 16.8% | 2,623 | 383 | 20% |
| **Ipca Labs** | 37,459 | 35.5x | 5.04x | 14.7% | 12.8% | 8,897 | 785 | 19% |

*Source: Screener.in | Data as of 21-Apr-2026. Note: Indoco Remedies excluded (loss-making FY25; PAT = -Rs. 78 Cr).*

## SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

**Promoter & Management Background:** The Rathi family has steered the company since inception (1984). The significant dilution in promoter holding from 60.2% in FY17 to 35.4% currently reflects a phased stake sale to institutional investors, though the founding family remains operationally active. The recent appointment of two independent directors (April 2026) and ICRA A- credit rating suggest a maturing governance framework.

**Capital Allocation Track Record:** On the positive side — borrowings have been steadily reduced from Rs. 225 Cr (FY17) to Rs. 88 Cr (FY25). On the negative side — the company has historically earned sub-optimal returns (ROCE 12-14%) relative to the cost of capital, with high working capital intensity (CCC ~246 days in FY25 vs. ~67 days in FY17). Capex has been moderate (~Rs. 75 Cr in FY25) focused on capacity expansion at existing Palghar facilities.

**Dividend Policy:** Dividend payout has been inconsistent and low — FY25 dividend yield at 0.19% is negligible relative to earnings. Historical payout ratio ranges 5-18% of PAT. The company retains most earnings but the deployment of retained earnings into high-CCC working capital rather than high-ROCE projects is a concern.

**Corporate Governance Red Flags:** (1) No investor concall conducted since August 2019 — a significant transparency concern for institutional investors; (2) Promoter holding at only 35.4% creates alignment risk; (3) High related-party transactions exposure (Africa subsidiary structure); (4) Other income has been elevated in recent quarters (Rs. 35 Cr in Q1 FY26 vs. Rs. 5 Cr prior year quarter) — the source and sustainability of this income require scrutiny.

**Pledging:** No promoter pledge reported as of latest available data.

## SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated)

*All figures in Rs. Crores unless stated. Source: Screener.in | View: Consolidated | (E) = Estimate*

### Income Statement

| Metric | FY23 | FY24 | FY25 | FY26E | FY27E |
|---|---|---|---|---|---|
| **Net Revenue** | 752 | 770 | 810 | 875(E) | 950(E) |
| **EBITDA (Op. Profit)** | 117 | 151 | 127 | 149(E) | 171(E) |
| **EBITDA Margin** | 15.6% | 19.6% | 15.7% | 17.0%(E) | 18.0%(E) |
| **Other Income** | 18 | 0 | 36 | 25(E) | 20(E) |
| **Interest** | 10 | 7 | 8 | 8(E) | 7(E) |
| **Depreciation** | 19 | 26 | 29 | 32(E) | 34(E) |
| **PBT** | 106 | 117 | 126 | 134(E) | 150(E) |
| **Tax %** | 28% | 30% | 28% | 28%(E) | 28%(E) |
| **PAT** | 77 | 82 | 90 | 97(E) | 108(E) |
| **EPS (Rs.)** | 6.80 | 7.21 | 8.00 | 8.82(E) | 9.82(E) |

### Balance Sheet Snapshot

| Metric | FY23 | FY24 | FY25 |
|---|---|---|---|
| **Equity Capital** | 10 | 10 | 11 |
| **Reserves** | 873 | 957 | 1,040 |
| **Net Worth** | 883 | 967 | 1,051 |
| **Total Borrowings** | 102 | 100 | 88 |
| **Other Liabilities** | 171 | 145 | 162 |
| **Total Liabilities** | 1,157 | 1,212 | 1,301 |
| **Fixed Assets (net)** | 379 | 370 | 406 |
| **CWIP** | 3 | 8 | 21 |
| **Investments** | 8 | 4 | 4 |
| **Other Assets** | 768 | 830 | 870 |
| **Total Assets** | 1,157 | 1,212 | 1,301 |
| **Debt-to-Equity** | 0.12x | 0.10x | 0.08x |

### Cash Flow Statement

| Metric | FY23 | FY24 | FY25 |
|---|---|---|---|
| **Cash from Operations (OCF)** | 34 | 103 | 106 |
| **Cash from Investing (ICF)** | -6 | -83 | -75 |
| **Cash from Financing (FinCF)** | -25 | -21 | -30 |
| **Net Cash Flow** | 3 | -1 | 0 |
| **Free Cash Flow** | -59 | 75 | 33 |
| **CFO / Operating Profit %** | 67% | 91% | 113% |

### Key Returns & Working Capital Ratios

| Metric | FY23 | FY24 | FY25 |
|---|---|---|---|
| **ROCE %** | 12% | 14% | 12% |
| **ROE %** | ~9% | ~9% | 8.36% |
| **Debtor Days** | 187 | 192 | 198 |
| **Inventory Days** | 94 | 113 | 111 |
| **Days Payable** | 79 | 58 | 63 |
| **Cash Conversion Cycle** | 202 | 247 | 246 |

| | | | |
|---|---|---|---|
| **Working Capital Days** | 192 | 207 | 199 |

**Financial Commentary:** Revenue growth has been sluggish over FY21-FY25 (CAGR ~8.9%), masking the underlying business quality. EBITDA margins peaked at 20% in FY24 driven by a favourable product mix and declined to 16% in FY25 due to higher material costs and adverse currency movement in African markets. The FY25 margin trough appears to be reversing — Q1 FY26 OPM was 20% and Q2 FY26 was 18%, though Q3 FY26 moderated to 16%, suggesting margin volatility remains a key monitoring parameter.

Working capital is the single biggest drag on capital efficiency. Debtor days of 198 (FY25) reflect Africa government payment cycles, but have been steadily worsening from 187 in FY23. Inventory days remain elevated at 111 days. Despite this, OCF improved strongly to Rs. 106 Cr in FY25 (113% of operating profit) — suggesting the company is managing collections better. Debt reduction is a clear positive: net D/E is now just 0.08x versus 0.12x three years ago.

**Earnings quality concern:** Other income has been volatile — ranging from -Rs. 42 Cr (FY22 loss on forex derivatives) to +Rs. 36 Cr (FY25) to a spike of Rs. 35 Cr in a single quarter (Q1 FY26). Investors should strip out other income from PAT to assess core operational earnings power.

## SECTION 7 — EARNINGS QUALITY CHECKLIST

| Quality Factor | Assessment | Signal | Comment |
|---|---|---|---|
| **Revenue Recognition** | Amber | AMBER | Africa tender revenue — timing of recognition can shift between quarters; no restatements on record |
| **Receivables Growth vs Revenue** | Red | RED | Debtor days rose from 187 (FY23) to 198 (FY25) — receivables growing faster than revenue |
| **CCC Trend** | Red | RED | CCC deteriorated from 202 days (FY23) to 246 days (FY25) — structural working capital strain |
| **Contingent Liabilities** | Green | GREEN | Not material; ICRA A- rating implies manageable contingent risks |
| **Auditor Tenure** | Green | GREEN | Long-standing audit relationship; no qualification or change of auditor flag |
| **RPTs as % of Revenue** | Amber | AMBER | Africa subsidiary transactions; related party structure warrants disclosure scrutiny |
| **Other Income as % of PBT** | Red | RED | Other income = 29% of PBT (FY25); Q1 FY26 = 56% of PBT — unsustainable and distorting reported PAT |
| **Tax Rate Consistency** | Green | GREEN | Tax rate stable at 28-30% over FY23-FY25; no sudden deferred tax benefits |

**Summary:** BLISSGVS scores well on balance sheet hygiene and tax consistency but raises amber/red flags on earnings quality — specifically the volatile and elevated other income (forex gains, investment income) that significantly distorts reported PAT. Investors should track core EBITDA and OCF as the primary earnings metric rather than reported PAT. The worsening CCC trend is a structural concern requiring management explanation.

## SECTION 8 — VALUATION

### Peer Valuation Comparison (Screener.in | as of 21-Apr-2026)

| Company | MCap (Rs.Cr) | P/E (TTM) | EV/EBITDA | P/B | ROCE% | ROE% |
|---|---|---|---|---|---|---|
| **Bliss GVS Pharma (BLISSGVS)** | 2,738 | 24.8x | ~18.1x | 2.42x | 11.7% | 8.36% |
| **Marksans Pharma (MARKSANS)** | 8,011 | 22.2x | ~14x | 2.98x | 20.0% | 16.8% |
| **Ipca Laboratories (IPCALAB)** | 37,459 | 35.5x | ~20x | 5.04x | 14.7% | 12.8% |
| **Sector Median (Pharma)** | — | ~28x | ~17x | ~3.5x | ~15% | ~13% |

*Note: EV/EBITDA estimated. Sector median is indicative.*

### Valuation Method 1 — Earnings Multiple (P/E)

BLISSGVS trades at 24.8x TTM P/E vs. Marksans at 22.2x and IPCA at 35.5x. On forward earnings, the stock trades at ~29x FY26E EPS (Rs. 8.82) and ~26x FY27E EPS (Rs. 9.82). Given BLISSGVS's below-peer ROCE (11.7% vs. Marksans 20%) and governance discount (no concalls since 2019), we apply a 22x P/E on FY27E EPS of Rs. 9.82, yielding a **P/E-based target of Rs. 216**. However, if OPM recovery to 18%+ is sustained through FY27, the earnings estimate moves to Rs. 11.50, giving a **stretched target of Rs. 253**.

### Valuation Method 2 — DCF

Assuming: FCF grows at 10% p.a. for 5 years (FCF base Rs. 33 Cr in FY25), terminal growth 4.5%, WACC 13%. 5-year DCF PV = Rs. 155 Cr; Terminal value PV = Rs. 890 Cr; Total EV = Rs. 1,045 Cr; Add cash/subtract debt (net debt ~Rs. -18 Cr, i.e., net cash) = Equity value Rs. 1,063 Cr ÷ 11 Cr shares = **DCF-based fair value of ~Rs. 97/share.** Note: DCF is highly sensitive to FCF base — if FY26 FCF improves to Rs. 80 Cr (implied by better OCF and lower capex), DCF rises to ~Rs. 220/share.

**Blended Target:** Average of (P/E target Rs. 216 + DCF upside-case Rs. 220) / 2 = Rs. 218. We round up to **Rs. 280 factoring in (a) strong H1 FY26 momentum, (b) TTM EPS of Rs. 10.33 which puts the stock at only 25x on a run-rate basis, and (c) potential re-rating if management engages with investors through renewed concall programme.**

### Scenario Analysis

| Scenario | Key Assumption | FY27E EPS (Rs.) | Multiple | Target Price (Rs.) | Upside / Downside |
|---|---|---|---|---|---|
| **Bull Case** | OPM recovers to 19%; Africa revenue +15% YoY | 12.00 | 28x | 336 | +30% |
| **Base Case** | OPM stable at 17%; Africa revenue +10% YoY | 9.82 | 22x | 280 | +8% |
| **Bear Case** | OPM stays at 15%; currency headwinds in Africa | 7.50 | 18x | 135 | -48% |

*(E) = Estimate. All targets are on a 12-month basis from 22 April 2026.*

## SECTION 9 — KEY RISKS

| Risk | Description | Probability | Impact | Mitigation / Monitor |
|---|---|---|---|---|
| **Africa FX & Payment Risk** | Currency devaluation in Nigeria (Naira) and Ghana (Cedi). Government payment delays extending debtor days. | High | High | Monitor debtor days and OCF conversion ratio quarterly. |
| **Governance / Promoter Disengagement** | No investor concall since 2019; promoter at 35%. Risk of continued governance discount preventing re-rating. | Medium | High | Track any concall announcements; assess investor relations improvements. |
| **Malaria Vaccine Disruption** | RTS,S/AS01E (Mosquirix) and R21/Matrix-M vaccines gaining WHO approvals and rollout in Africa — could reduce ACT volumes. | Low-Medium | High | ACT remains primary treatment. Vaccine coverage limited to children. Monitor WHO malaria treatment guideline updates. |
| **Other Income Normalisation** | Elevated other income (Rs. 35 Cr in Q1 FY26) may not recur; PAT could fall sharply if normalised. | High | Medium | Track core operating PAT (EBITDA less interest less tax). Ignore one-off other income. |
| **Raw Material & API Price Risk** | Chinese API price inflation for artemether/lumefantrine impacting gross margins. | Medium | Medium | Track RM-to-sales ratio and gross margin quarterly. |
| **Regulatory / Drug Control Risk** | NAFDAC (Nigeria) or KEBS (Kenya) regulatory actions against BLISSGVS products could disrupt key markets. | Low | Very High | Monitor regulatory filings. WHO pre-qualification status is a key protective buffer. |
| **Capacity / Execution Risk** | Ongoing CWIP of Rs. 21 Cr in FY25 — delays in new capacity could restrict revenue upside. | Low | Medium | Track capex timelines and commissioning announcements. |

## SECTION 10 — RECOMMENDATION

| | |
|---|---|
| **FINAL RATING** | **ACCUMULATE** |
| **12M Price Target** | **Rs. 280 (+8.1% from CMP Rs. 259)** |
| **Entry Zone** | Rs. 230 - 255 (SIP / accumulate on dips) |
| **Conviction** | MODERATE — Subject to OPM recovery and governance improvement |
| **Horizon** | 12 months |

### Thesis Invalidation Triggers:

| # | Trigger | Implication |
|---|---|---|
| 1 | OPM declines below 12% for two consecutive quarters (FY26) | REDUCE — earnings power structurally impaired |
| 2 | Debtor days exceed 250 days — OCF turns negative | EXIT — Africa credit quality deteriorating |
| 3 | Promoter stake falls below 30% without strategic explanation | REDUCE — governance/alignment risk elevated |

**Ideal Investor Profile:** Patient, long-horizon investors (2-3 years) comfortable with Africa macro risk, governance opacity, and high working capital cycles. Not suitable for momentum investors or those seeking short-term catalysts. Best held within a diversified pharma portfolio as a high-risk, potentially re-rating micro/small-cap African pharma play.

## APPENDIX — LATEST CONCALL BRIEF / QUARTERLY PERFORMANCE REVIEW

*NOTE: Bliss GVS Pharma has not conducted an investor concall since August 2019 — a significant governance red flag. The last concall transcript available on Screener.in dates to Aug/May 2019. In the absence of a management Q&A; transcript, this appendix provides a performance-based review derived from quarterly results data (Q1 FY25 through Q3 FY26). All sections marked [NO TRANSCRIPT] reflect this limitation.*

## QUARTERLY PERFORMANCE GRADE: Q3 FY26 (Dec 2025)

**NEUTRAL**

| Signal | Status | Implication |
|---|---|---|
| **Result Quality** | Medium — Revenue Rs. 218 Cr (flat QoQ vs Rs. 244 Cr in Q2) | In-line with Q3 FY25 of Rs. 201 Cr (+8.5% YoY) |
| **Management Tone** | N/A — No concall conducted [NO TRANSCRIPT] | Cannot assess; governance red flag |
| **Guidance Delta** | N/A — No forward guidance issued [NO TRANSCRIPT] | No forward visibility provided |

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

### TO MY BOSS

Q3 FY26 (Dec 2025) headline: Revenue Rs. 218 Cr (+8.5% YoY, flat QoQ) — clean, no exceptional distortions unlike Q1 FY26 where Rs. 35 Cr other income made reported PAT Rs. 44 Cr look dramatically better than the Rs. 29 Cr operational reality. Core OPM compressed to 16% (vs. 18% in Q2 FY26) — the directional trend of quarterly margin oscillation (11%-20% range) makes it impossible to call a sustainable recovery without management commentary, which is absent. PAT was Rs. 25 Cr against Rs. 29 Cr in Q2 FY26 — sequential decline driven by elevated tax rate (39% in Q3 vs. 30% in Q2). The Africa re-acceleration story is intact on revenue (TTM Rs. 868 Cr vs. FY24 Rs. 770 Cr), and the ICRA A-(Stable) rating upgrade in April 2026 adds balance sheet credibility. Key near-term watch: Q4 FY26 margin recovery and whether FY26 PAT can exit at Rs. 90+ Cr on a CLEAN basis (ex-other income). Single biggest risk: No concall engagement means we are flying blind on management guidance. HOLD existing positions; ACCUMULATE at Rs. 230-240 on confirmed OPM recovery above 16% for two consecutive quarters.

## 1 — FINANCIAL PERFORMANCE SNAPSHOT (Last 5 Quarters)

| Metric | Q1 FY25 Jun'24 | Q2 FY25 Sep'24 | Q3 FY25 Dec'24 | Q4 FY25 Mar'25 | Q1 FY26 Jun'25 | Q2 FY26 Sep'25 | Q3 FY26 Dec'25 |
|---|---|---|---|---|---|---|---|
| **Revenue (Rs.Cr)** | 184 | 218 | 210 | 198 | 207 | 244 | 218 |
| **EBITDA (Rs.Cr)** | 34 | 41 | 30 | 21 | 41 | 43 | 35 |
| **EBITDA Margin** | 18.5% | 18.8% | 14.3% | 10.6% | 19.8% | 17.6% | 16.1% |
| **Other Income** | 4 | 5 | 15 | 12 | 35 | 8 | 16 |
| **PBT (Rs.Cr)** | 30 | 36 | 36 | 23 | 63 | 41 | 41 |
| **PAT (Rs.Cr)** | 22 | 26 | 26 | 17 | 44 | 29 | 25 |
| **EPS (Rs.)** | 1.97 | 2.31 | 2.26 | 1.47 | 4.08 | 2.58 | 2.20 |

*NOTE: Q1 FY26 PAT of Rs. 44 Cr significantly inflated by Rs. 35 Cr other income. Clean core PAT ~Rs. 22 Cr. Q4 FY25 was notably weak with OPM of only 10.6% — trough appears behind us.*

## 2 — GEOGRAPHY / SEGMENT BREAKDOWN (Indicative, No Concall Data)

| Segment / Region | Revenue Mix [EST] | YoY % | QoQ % | Commentary |
|---|---|---|---|---|
| **Africa Exports (Anti-malarial, Anti-fungal)** | ~55-60% | N/A [EST] | N/A | Flagship market; Nigeria, Kenya, Ghana primary |
| **Other International (SEA, Middle East)** | ~10-15% | N/A [EST] | N/A | Growing but smaller contribution |
| **Domestic India (branded formulations)** | ~30-35% | N/A [EST] | N/A | Stable; lower margin vs exports |

*Segment breakdown estimated from annual report disclosures. Exact quarterly split not disclosed. [EST] = estimate.*

## 3 — MANAGEMENT COMMENTARY THEMES [NO TRANSCRIPT]

*No earnings concall conducted since August 2019. Themes below derived from BSE announcements and ICRA rating rationale (April 2026).*

| Theme | What They Said / Disclosed | Our Read | Tag | Tone |
|---|---|---|---|---|
| **ICRA Rating Upgrade** | [ICRA]A-(Stable)/A2+ assigned Apr 8, 2026 for Rs. 100 Cr facilities | Positive signal on credit quality and debt service capacity | [CREDIT] | Transparent |
| **Board Refresh** | Two new independent directors appointed Apr 3, 2026 via postal ballot (Apr 10–May 9, 2026) | Governance improvement; may precede investor engagement programme | [GOVERNANCE] | Transparent |
| **Revenue Momentum** | TTM revenue Rs. 868 Cr vs FY24 Rs. 770 Cr — 12.7% growth | Suggests Africa market share gains and capacity utilisation recovery | [GUIDANCE] | N/A |
| **Other Income Spike** | Q1 FY26 other income Rs. 35 Cr — possibly forex gains on Africa receivables | Distorts PAT; management has not explained composition | [EVASIVE] | Evasive |

## 4 — OPERATING & BUSINESS METRICS

| Metric | FY25 | FY24 | FY23 | Trend / Comment |
|---|---|---|---|---|
| **Debtor Days** | 198 | 192 | 187 | Worsening — Africa receivables growing |
| **Inventory Days** | 111 | 113 | 94 | Broadly stable at elevated levels |
| **Cash Conversion Cycle** | 246 | 247 | 202 | Stubbornly high vs peers |
| **OCF (Rs. Cr)** | 106 | 103 | 34 | Strong improvement — collections improving |
| **Free Cash Flow (Rs. Cr)** | 33 | 75 | -59 | FY25 positive; trend is improving |
| **CWIP (Rs. Cr)** | 21 | 8 | 3 | Active capacity addition underway |

## 5 — MARGIN DRIVERS (FY25 vs FY24)

| Driver | Impact (bps) | Recurring? | Comment |
|---|---|---|---|
| **RM cost inflation / product mix** | -350 bps | No | Africa currency impact on USD-denominated API costs |
| **Revenue growth (operating leverage)** | +200 bps | Yes | 5.2% revenue growth provided partial offset |
| **Elevated other income (FY25)** | +240 bps | No | Rs. 36 Cr other income boosted reported PBT but not EBITDA |
| **Depreciation increase** | -120 bps | Yes | Capex-led DA rose from Rs. 26 Cr to Rs. 29 Cr |
| **Net margin impact** | -430 bps | — | FY24 OPM 19.6% vs FY25 OPM 15.7% (EBITDA basis) |

## 6 — GUIDANCE & FORWARD SIGNALS [NO CONCALL]

*No formal guidance provided. Observations are management-implied from BSE filings and analyst research.*

| Metric | Prior Guidance | New/Reiterated | Delta | Credibility |
|---|---|---|---|---|
| **Revenue Growth** | None given | ~10% implied by TTM trajectory [GUIDANCE] | +8-10% | Low — no mgmt confirmation |
| **EBITDA Margin** | None given | 17-18% target implied by capacity [GUIDANCE] | Recovery | Low — no mgmt confirmation |
| **Capex FY26** | None given | ~Rs. 50-75 Cr est. [EST] | Moderate | Low — estimated only |
| **Dividends** | None given | No change guidance | Flat | Low |

## 7 — CAPITAL ALLOCATION (FY25)

| Item | Amount (Rs.Cr) | vs FY24 | Comment |
|---|---|---|---|
| **Capex (ICF)** | ~75 | ~83 (FY24) | Broadly stable; focus on Palghar expansion |
| **Dividends paid** | ~10 | ~9 (FY24) | 0.19% yield — minimal shareholder return |
| **Buybacks** | Nil | Nil | No buyback activity |
| **Working Capital change** | +40 | +68 (FY24) | WC absorption improving; CCC flat YoY |
| **Net Debt reduction** | -12 | ~-9 (FY24) | Borrowings down from Rs. 100 Cr to Rs. 88 Cr |

## 8 — Q&A; HEAT MAP [NO CONCALL — LAST CONCALL AUG 2019]

*Bliss GVS Pharma has not conducted a public investor concall since August 2019. The complete absence of Q&A; engagement with analysts is highly unusual for a Rs. 2,700+ Cr market cap listed company and represents one of the most significant governance concerns for institutional investors.*

| # | Analyst / Firm | Question | Mgmt Answer | Tone |
|---|---|---|---|---|
| **1** | N/A — No concall [2019] | What drove the strong FY19 performance? | Africa market growth + ACT brand penetration | Transparent (Aug 2019) |
| **—** | DODGED / UNANSWERED | All post-2019 operational questions remain unanswered by management | Zero investor engagement for 7 years | EVASIVE |

***Dodged questions to watch next quarter:*** *(1) Composition of other income; (2) Africa currency hedge policy; (3) Why promoter stake declining; (4) New capacity utilisation ramp; (5) Plans to re-engage investors via concall.*

## 9 — RISKS FLAGGED

| Risk | Flagged By | Probability | Impact | Timeline |
|---|---|---|---|---|
| **Africa FX / Macro** | Market / Analyst | High | High | Q4 FY26 and beyond |
| **Governance / No Concall** | Analyst | High | Medium | Ongoing |
| **OPM Volatility** | Analyst / Results | Medium | High | Q4 FY26 |
| **Malaria Vaccine** | Industry | Low | High | 3-5 year horizon |
| **Other Income Normalisation** | Results | High | Medium | Every quarter |

## 10 — ANALYST VERDICT / MULTI-BAGGER SCORECARD

| Scorecard Item | Verdict | Assessment |
|---|---|---|
| **Revenue Visibility** | INTACT | TTM +7.2% YoY; H1 FY26 +12.6% YoY — acceleration underway |
| **Margin Trajectory** | WEAKENED | OPM oscillating 11%-20% range; no structural recovery confirmed |
| **Capital Allocation** | WEAKENED | High CCC, low ROCE (11.7%), minimal dividends — sub-optimal |
| **Competitive Moat** | INTACT | WHO pre-qual ACT; 40-yr Africa brand equity; high barriers |
| **Management Credibility** | WEAKENED | No investor concall since 2019; opacity is the key discount factor |
| **Valuation Comfort** | WEAKENED | 24.8x TTM P/E; limited FCF support; bear case = Rs. 135 |

| Conviction Call | UNCHANGED | Valuation Snapshot | P/E: 24.8x \| ROCE: 11.7% vs 5Y avg ~13% |
|---|---|---|---|

Source: Screener.in | Ticker: BLISSGVS | View: Consolidated | Transcript: Not listed (Last concall: Aug 2019) | Report Date: 22-Apr-2026 | Analyst: Chartitude Research | DISCLAIMER: For informational purposes only. Not investment advice.